Information Systems Application

ONLINE PROCESSING

Definition of Online Processing

- Online processing (also known as online transaction processing or OLTP) refers to a method of data entry and retrieval where transactions are processed immediately, without any delay.
- It is the ongoing entry of data into a computer system in real time. This approach is crucial in environments where immediate updates to data are essential for users.

Definition of Online Processing

- Example of online processing:
  1. Imagine a scenario where you are buying a shirt at Target.
  2. When the bar code on the shirt gets scanned at the register, that's online processing in action.
  3. The system immediately updates Target's inventory records, sales reports, and cost information—all in real time.

Advantage of Online Processing

- **Timeliness:** Online processing ensures that information is up-to-date. Unlike batch processing (where data is processed periodically), online systems continuously update, providing managers with accurate, current data.
- **Continuous Data:** Using our Target example, if batch processing were used, inventory reports would only be updated periodically—maybe every day or even every month. With online processing, managers can access inventory data any day, any time.

Advantage of Online Processing

- **Improved Usability:** Reports generated from online systems contain more current information, making them more useful for decision-making.